

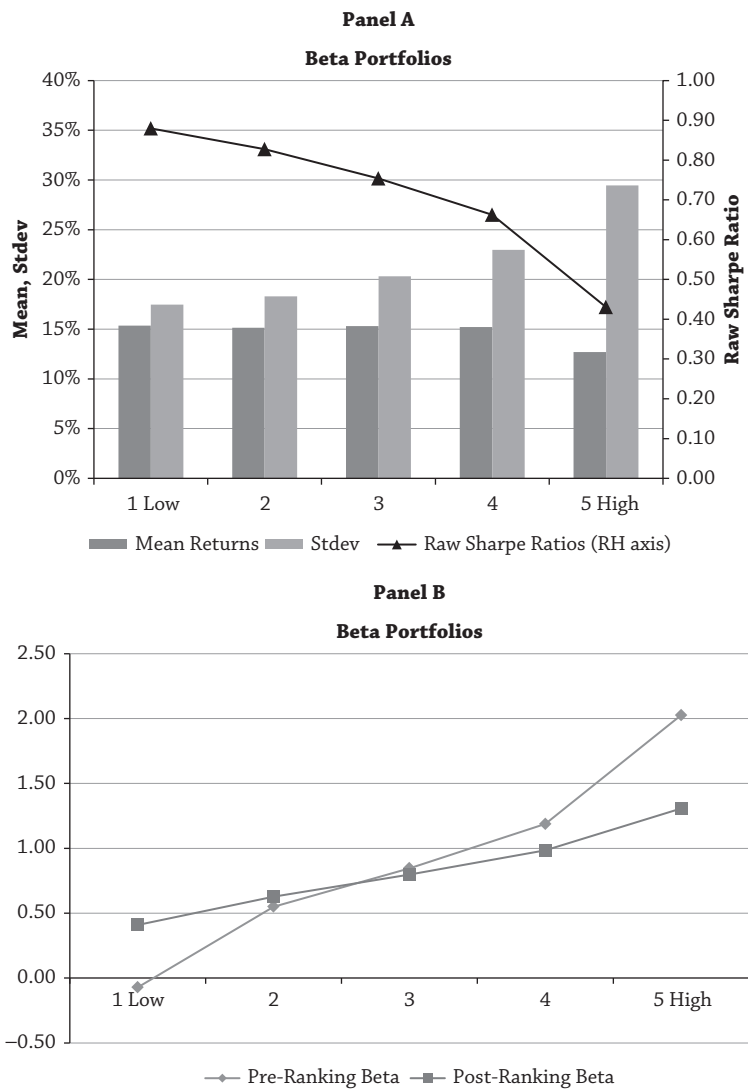


Figure 10.10

the beta quintiles are approximately flat, around 15% for the first four quintiles and slightly lower at 12.7% for quintile 5. The beta anomaly is not that stocks with high betas have low returns—they don’t. Stocks with high betas have high volatilities. This causes the Sharpe ratios of high beta stocks to be lower than the Sharpe ratios of low-beta stocks. The right-hand axis of Panel A shows that the raw Sharpe ratios drop from 0.9 to 0.4 moving from the low- to the high-beta quintile portfolios.

In Panel B of Figure 10.10, I plot the pre-ranking and post-ranking betas. The pre-ranking beta is the beta over the previous three months, which is used to rank